

ACV vs. RCV: The Depreciation Trap

How Insurance Companies Shortchange Your Claim Payout

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This guide is provided for educational and informational purposes only. It is not legal advice. The information contained in this guide is based on the author's professional experience as a California Licensed Public Adjuster and may not apply to your specific situation or state.

Insurance policies, state regulations, and case law vary significantly from state to state and change over time. Always consult with a licensed public adjuster or attorney in your state before making decisions about your insurance claim.

The examples and scenarios described in this guide are drawn from real-world experience but have been generalized for educational purposes.

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Chapter 1: Where Does Your Money Go?

You pay your insurance premiums every year. You have a covered loss. The insurance company writes you a check — but it's thousands of dollars less than what it actually costs to repair your home. What happened? The answer, in many cases, is depreciation. It's the single biggest reason insurance payouts fall short of actual repair costs, and it's one of the least understood aspects of property insurance. Insurance companies count on that confusion. This guide breaks down exactly how depreciation works, what ACV and RCV mean, how insurance companies abuse the depreciation process, and what you can do to make sure you receive the full amount you're owed.

Chapter 2: ACV and RCV — The Two Numbers That Matter Replacement Cost Value (RCV)

RCV is the cost to repair or replace your damaged property with materials of like kind and quality, at today's prices. If your 15-year-old roof is destroyed by a hailstorm, the RCV is what it costs to install a new roof of the same type and quality today. RCV doesn't care how old the roof was.

Actual Cash Value (ACV)

ACV is the replacement cost minus depreciation. Think of it as the 'used value' of what was damaged. If a new roof costs \$20,000 (RCV) and the insurance company says your 15-year-old roof was 50% depreciated, your ACV would be \$10,000. The difference between RCV and ACV — \$10,000 in this example — is called the 'depreciation holdback' or 'recoverable depreciation.' If you have a replacement cost policy, you can recover this money after you complete the repairs. The Simple Math $RCV = \text{Cost to replace at today's prices}$. $ACV = RCV \text{ minus depreciation (the 'used' value)}$. Recoverable Depreciation = The difference, which you get back after repairs. If you have a replacement cost policy, you're entitled to the full RCV once repairs are completed. The initial ACV payment is just the first installment.

Chapter 3: The Two-Check System

If you have a replacement cost policy — and most homeowners do — the claim is typically paid in two phases: Check #1: The ACV Payment The insurance company pays the actual cash value first. This is the replacement cost minus depreciation, minus your deductible. This is the check most people receive and mistakenly think is the final payment. Check #2: The Recoverable Depreciation After you complete repairs, you submit documentation (receipts, invoices, photos of completed work) to the insurance company. They then release the depreciation they withheld. This second payment brings your total up to the full replacement cost. Here's the catch: many people never collect the second check. They get the ACV payment, do the repairs out of pocket, and never go back to the insurance company for the holdback. The insurance company doesn't remind you. They're perfectly happy to keep that money.

Don't Forget Your Second Check

If you have a replacement cost policy and you've completed repairs, contact your insurance company to recover your depreciation holdback. There is usually a time limit — often 180 days to a year — so don't wait too long.

Chapter 4: How Insurance Companies Abuse Depreciation

Depreciation is supposed to reflect the actual loss in value of a specific item based on its age, condition, and useful life. In practice, many insurance companies apply depreciation in ways that are inaccurate, excessive, or outright illegal.

Blanket Depreciation Percentages

I've seen carriers apply 25% or 30% depreciation across the board — to every single line item in the estimate. This is wrong. A 20-year-old roof shingle and a 2-year-old water heater have completely different useful lives. Copper pipe doesn't depreciate the same way drywall does. Concrete foundation doesn't depreciate the same as carpet. Blanket depreciation is lazy estimating. Each item should be depreciated individually based on its expected useful life and actual condition at the time of loss.

Depreciating Labor

This is one of the biggest money-grabs in the industry. Many insurance companies depreciate labor — the cost of the workers who perform the repairs. Think about that for a moment. You can buy a 'used' shingle, but you can't buy 'used labor.' The roofer charges the same hourly rate whether they're installing new shingles on a brand-new home or replacing 20-year-old shingles on yours. A growing number of states have ruled that labor cannot be depreciated. Court decisions in Arkansas, Georgia, Kentucky, Oklahoma, Illinois, Hawaii, and others have held that depreciating labor is improper. In California, the regulations require that depreciation be based on the 'condition' of the damaged property — and labor has no 'condition' to assess. If your insurance company is depreciating labor, check your state's case law. This single issue can be worth thousands of dollars on your claim.

Labor Depreciation Is Increasingly Illegal

You cannot buy 'used labor.' A growing number of state courts have ruled that insurance companies cannot depreciate the labor component of repair costs. If your carrier is depreciating labor, this may be illegal in your state.

Depreciating Non-Depreciable Materials

Some building materials don't meaningfully lose value during the life of a structure. Concrete foundation, copper piping, steel framing, ceramic tile, and many other components are designed to last the life of the building. Depreciating these items is improper. If the insurance company is applying depreciation to materials that have an expected useful life equal to or greater than the building itself, challenge it. Ask them to provide the specific useful life they're using for each item and the basis for their calculation.

Ignoring Actual Condition

Depreciation is supposed to reflect the actual condition of the property, not just its age. A well-maintained 20-year-old roof may have significantly more useful life remaining than a neglected 10-year-old roof. If the insurance company is depreciating purely based on age without considering condition, they're doing it wrong.

Chapter 5: Non-Recoverable Depreciation

Some policies — particularly older ones or those in certain states — include 'non-recoverable depreciation.' This means that even after you complete repairs, the insurance company will not pay back the depreciation. With non-recoverable depreciation, the ACV payment is your final payment. You won't get a second check. This is a significant difference from standard replacement cost policies, and it's important to know what type of policy you have before you file a claim. Some states have restricted or banned non-recoverable depreciation provisions. Check with your state's Department of Insurance if you're not sure about your policy.

Know Your Policy Type

Check your policy declarations page for the words 'replacement cost' vs. 'actual cash value.' If your policy only pays ACV, you may want to consider upgrading to replacement cost coverage before your next renewal.

Chapter 6: The Matching Problem

Depreciation creates another problem that insurance companies love to ignore: matching. When you replace a damaged section of roof, siding, or flooring, the new materials often don't match the existing undamaged materials. If a hailstorm damages one slope of your roof and the insurance company pays to replace just that slope, you now have a roof that's two different colors and two different ages. The same issue arises with siding, flooring, countertops, and many other components. Most policies require the insurance company to restore your property to its pre-loss condition. A mismatched roof or half-and-half siding is not 'pre-loss condition.' Yet carriers routinely refuse to pay for matching, claiming it's 'betterment' — giving you something better than what you had. It's not betterment. Before the loss, you had a matching roof. After the loss, you deserve a matching roof. The additional cost of achieving that match is part of the loss.

Matching Is Part of Your Loss

Matching is not 'betterment.' If your property matched before the loss, the insurance company should pay to make it match after repairs. Don't accept a half-and-half repair as 'good enough.'

Chapter 7: Protecting Your Payout Before a Loss

1. Make sure you have a replacement cost policy, not an ACV policy.
2. Check whether your policy has non-recoverable depreciation language.
3. Document the condition of your property with dated photos — this proves good maintenance if depreciation is disputed.
4. Keep records of improvements and maintenance (new roof, replaced HVAC, etc.).

After a Loss

1. Ask for an itemized depreciation schedule showing the calculation for each line item.
2. Challenge blanket depreciation percentages — every item should be calculated individually.

3. Check if your state prohibits labor depreciation. If so, demand it be removed.
4. Challenge depreciation on long-life materials (concrete, copper, steel, etc.).
5. Provide evidence of good maintenance to argue for lower depreciation rates.
6. Complete your repairs and submit for your recoverable depreciation before the deadline.
7. Don't accept the ACV payment as final if you have a replacement cost policy.
8. If the carrier's depreciation seems excessive, get a second opinion from a public adjuster.

It's Worth Fighting For

Depreciation disputes can involve thousands or tens of thousands of dollars. If the insurance company's depreciation calculations seem wrong, it's worth hiring a professional to review them. A public adjuster can identify improper depreciation and fight to get your money back.

If you're dealing with an insurance company that isn't treating you fairly, you don't have to fight alone. A licensed public adjuster works for you — not the insurance company — to make sure you receive every dollar you're entitled to under your policy. Visit: insuranceclaimsinfo.com Free resources, guides, and expert help for policyholders Leland Coontz California Licensed Public Adjuster

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